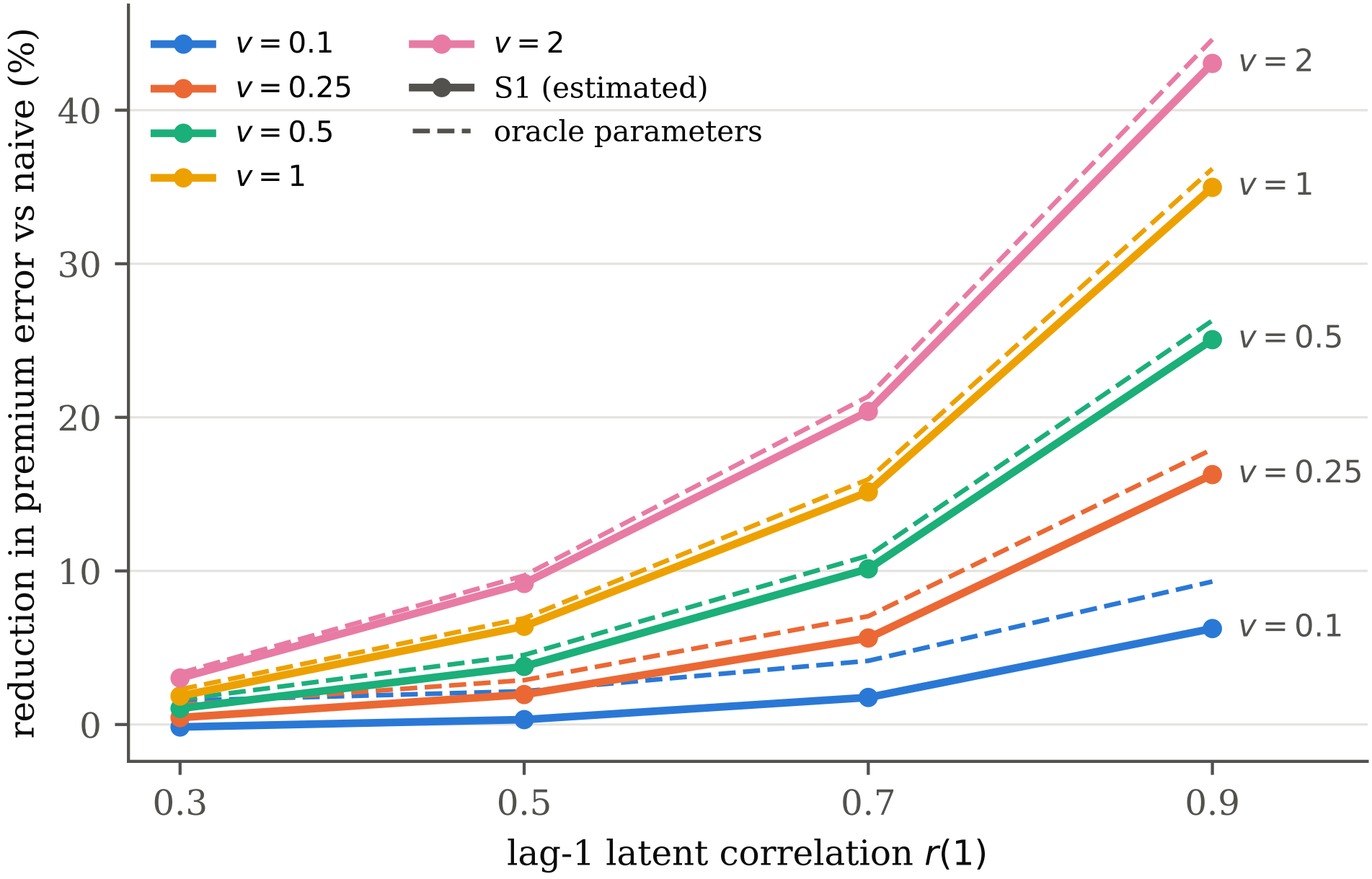
$v = 0.1$
$v = 0.25$
$v = 0.5$
$v = 1$
$v = 2$
S1 (estimated)
oracle parameters
reduction in premium error vs naive (%)
0
10
20
30
40
0.3
0.5
0.7
0.9
lag-1 latent correlation $r(1)$
$v = 2$
$v = 1$
$v = 0.5$
$v = 0.25$
$v = 0.1$